

PUBLICATION OF 21 MAY 2024

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Provision of 11 April 2024

*The provision has been appealed

Register of provisions

n. 205 of 11 April 2024

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN today's meeting, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Dr.
Agostino Ghiglia and Attorney Guido Scorza, members, and
Counsel Fabio Mattei, Secretary General;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of 27 April 2016, concerning
the protection of natural persons with regard to
the processing of personal data, as well as the free
movement of such data and repealing Directive
95/46/EC (General Data Protection Regulation, hereinafter "Regulation");

HAVING REGARD to the Code regarding the protection of personal data
(legislative decree 30 June 2003, n. 196), as
amended by legislative decree 10 August 2018, n. 101, containing
provisions for the adaptation of the national
legislation to the aforementioned Regulation (hereinafter
"Code");

HAVING REGARD to the documentation on file;

HAVING REGARD to the observations made by the Secretary
General pursuant to Article 15 of the Guarantor's regulation n. 1/2000, adopted by resolution of 28
June 2000;

REPORTING Dr. Agostino Ghiglia;

1. THE INSTRUCTIONAL ACTIVITY CARRIED OUT

1.1. Premise

With communication prot. n. 167943 of 19 December
2023 (notified on the same date via certified
email), the Office initiated, pursuant to
Article 166, paragraph 5, of the Code, a
proceeding for the adoption of the measures referred to
in Article 58, paragraph 2, of the Regulation against
Facile.Energy S.r.l. (hereinafter "Facile.Energy" or
"the Company"), represented by the legal representative
pro tempore, with registered office in Milan (MI), Via
Uberto Visconti di Modrone n. 34, VAT number 05175670289.

The proceeding originates from an investigation
initiated by the Authority, following 56 reports and
2 complaints against the Company, regarding
the receipt of unwanted promotional calls
made without prior consent from the data subject or
using numbers registered in the Public Opposition Register (hereinafter, "RPO"), which led to
the unsolicited activation of energy supplies.

1.2. The conduct of the investigation and the requests for information made by the Authority

1.2.1. The request for information pursuant to Article 157 of the Code

By note dated 31 March 2023, the Authority sent to Facile.Energy a cumulative request for information, formulated pursuant to Article 157 of the Code (registered with protocol n. 55173/23), useful for evaluating the 56 reports and the 2 complaints received by the Authority during the period from January 2022 to March 2023, mainly concerning the matter of telemarketing. With the same note, the Company was requested to “provide a list of purchase proposals from its sales network that led to the activation of energy services in the period from 6 March 2023 to 13 March 2023, inclusive, divided between ‘residential’ and ‘business’.” With request prot. 63947/23 of 18 April 2023, the Company first requested an extension of the deadline granted for the response and then, with note prot. 66331 of 21 April 2023, provided the list of requested purchase proposals, indicating that “the telephone contacts of customers are obtained by the telesellers through the consultation of lists obtained under their own personal responsibility.”

With request dated 26 April 2023 (prot. 68168), then followed up on 9 May 2023 (prot. 74272), Facile.Energy also requested an extension of the deadline granted to provide observations and the documentation useful for examining the complaints and reports received by the Authority. Following the aforementioned request and taking note of the reasons provided, the Office granted the requested extension (see note prot. n. 75630/23 of 11 May 2023).

Thus, with a note sent on 18 May 2023 (prot. n. 79936/23), the Company preliminarily reiterated that “the names and data of potential customers are obtained by the teleselling service providers who, therefore, have the burden and obligation to contact only individuals not registered in the opposition register and only using telephone numbers registered with the ROC” and highlighted the letter of Article 2, paragraph 4, of the standard contract signed with the telesellers in the part that states that “2.4 The Contractor shall obtain at its own care, responsibility and expense the lists of potential customers to be called, ensuring, where necessary according to current regulations, directly or through authorized third parties, the registration with the public register of contractors who oppose the use of their

personal data and their telephone number for sales or commercial promotions, pursuant to Article 1, paragraph 15, of Law 11 January 2018, n. 5. (hereinafter "Register") pursuant to DPR 27 January 2022, n. 26 to communicate to the same Register the lists of names/telephone numbers it intends to contact for the teleselling activity subject to this Contract and to retrieve from the aforementioned Register the "clean" lists of names registered in the

****Registry of Oppositions.**** Similarly, it shall be the responsibility of the Contractor and/or authorized third parties to maintain, modify, update, or constantly integrate the lists, ensuring and indemnifying the Client in any case regarding compliance with the provisions of current privacy regulations.

On the same occasion, with reference to the complaints in files no. 224989 - 182209 - 182891 - 183776 - 183137, Facile.Energy clarified that "where requested by the applicant, the Vocal Order was provided and where the deletion of data was requested or opposition to processing was expressed, the undersigned has complied with the requests for deletion or opposition to processing in accordance with what was requested and in compliance with the regulations."

In relation to the circumstances represented through reports no. 177320 - 184725 - 182272 - 182775 - 183715, the Company observed that these "do not contain any trace of requests or complaints regarding data processing."

Finally, with reference to file no. 217004, Facile.Energy noted that "although this protocol and the related request for clarification have no relevance to the processing of personal data, it is specified that the requested invoices were, again, sent to the applicant's law firm and the complaint was resolved."

1.2.2. ****Verification at the Public Registry of Oppositions****

In order to carry out the necessary checks regarding the correctness of the aforementioned telemarketing activities, on July 14, 2023 (protocol no. 108700), the Office sent the aforementioned list of telephone numbers subject to the mentioned feedback from Facile.Energy to the Ugo Bordonì Foundation, which manages the Public Registry of Oppositions. In this context, information was requested, pursuant to Article 157 of the Code, for each number regarding any registration in the Public Registry of Oppositions (RPO) not subsequent to January 31, 2023.

On July 21, 2023, the Foundation sent its feedback (protocol no. 111770/23), from which it emerged that 106 telephone lines were registered in the Public Registry of Oppositions at the time of the promotional calls made by the Company, representing 6% of the total number of telephone contacts from which contracts were concluded during the reference period (n. 1768).

1.2.3. ****Supplement to the Investigation****

During the investigation, further reports of a similar nature against the Company were received by the undersigned Authority, relating to the same case (unwanted calls and unsolicited activations: files no. 322107 - 324778 - 322765).

Although the complaints in files no. 322107 and 324778 were also addressed to Facile.Energy, it does not appear in the records that the Company provided any feedback.

Conversely, in the clarifications provided directly to the interested party regarding report no. 322765, Facile.Energy noted that customer data is transmitted by the contractor, who is required to ensure its accuracy and transparency, and that "The provision of such data and the guarantee provided by the broker/agent/contractor regarding the correct origin of the data constitute the legal basis for the processing carried out by Facile.Energy."

1.3. ****Contest of Violations****

The Office, at the conclusion of the investigation, adopted the aforementioned communication to initiate proceedings pursuant to Article 166, paragraph 5 of the Code (protocol no. 167943 of December 19, 2023), in which it preliminarily noted the violation of the principle of accountability and the rules regarding data processing security, also in relation to the failure to adopt measures suitable to prevent and counteract the phenomenon of wild telemarketing.

From the documentation produced by the Company, a substantial lack of interest on the part of the data controller regarding the origin of the data and the contact lists also emerged.

The contestation also concerned the incorrect identification of subjective roles and the consequent failure to fulfill the obligations of supervision and control imposed on the data controller, as well as the lack of security measures concerning the entire commercial and management chain that, originating from the "contact," allows reaching the "contract," despite the company already being aware of the phenomenon.

In this case, the seriousness of the contested conduct was made even more evident by the circumstances represented through the complaints received by the Office. In numerous cases, in fact, the interested parties complained of having suffered damages of a patrimonial and non-patrimonial nature precisely due to the unlawful processing of their personal data, from which the unsolicited activation of energy supplies had arisen.

Additionally, having contacted 106 telephone numbers during the telemarketing activities carried out in the period of February-March 2023, which represented just over 6% of the total number of telephone contacts from which supply activations arose, while those same lines were registered with the RPO - and therefore subject to the opt-out mechanism established by current regulations - seemed to confirm the validity of the circumstances highlighted in the numerous reports and complaints received by the Authority.

Finally, the Authority noted that from the documentation on file and the reasons provided by the Company, significant doubts emerged regarding the assimilation of the new regulatory framework by the data controller.

The Office, therefore, contested the possible violation by Facile.Energy of Articles 5, paragraph 1, letters a) and f), 5, paragraph 2, 6, paragraph 1, letter a), 24 paragraph 1, 25, 28, and 32 of the Regulation, as well as Article 130, paragraphs 3 and 3 bis, of the Code, for having carried out processing of personal data of users and contractors in the energy sector in violation of the principles of lawfulness and accountability, in the absence of an appropriate legal basis and implementing technical and organizational measures inadequate to ensure, from the design stage, and to be able to demonstrate, that the processing is carried out in accordance with the Regulation.

2. THE DEFENSE OF THE HOLDER

By request dated January 2, 2024 (prot. no. 556), the Company requested access to all acts and documents contained in the file. By note sent on January 11, 2024 (prot. no. 3817), the Office accepted this request, highlighting that all documentation related to the investigation was already fully available to the Company, except for the request for information pursuant to Article 157 of the Code sent to the FUB regarding the list of telephone numbers subject to verification by Facile Energy, the results of which had already been shared in the form of an attachment to the communication initiating the procedure.

Subsequently, by notes sent on January 18, 2024 (see prot. nos. 6831 and 6952), Facile.Energy requested an extension of the deadline referred to in Article 166, paragraph 6, of the Code, as well as to be heard by the Authority; both requests were accepted, resulting in an extension of the deadline for the submission of defensive memoranda and a summons for the hearing set for February 13, 2024.

With a defensive memorandum sent on February 2, 2024 (protocol no. 13893), the Company preliminarily represented that "the professional has implemented and is further implementing a series of technical management measures also in light of the guidelines extractable from the decision of this Authority of December 11, 2019, doc. web no. 9244358."

The Company then contested the unfounded nature of the charge regarding the alleged patrimonial and non-patrimonial damages suffered by the interested parties, highlighting that based on the provisions of ARERA resolution no. 302/2016, it is possible to carry out a switch even in the presence of unpaid invoices, without the previous supplier having the opportunity to oppose, and that pursuant to Article 66 sexies of the Consumer Code, in the case of unfair commercial practices, the supplier is required to waive any economic claim against the consumer.

Regarding the 106 telephone users contacted during the so-called "sample week" while registered with the RPO, the Company noted that "This charge is incorrect and misleading. By way of example, a

search conducted at the U. Bordoni Foundation found that the following users, which this Authority indicates were contacted when they would have registered their opposition, were freely contactable between February and March 2023 as the holders registered subsequently in March 2023 in the register of oppositions."

With specific reference to the choice of commercial partners, Facile.Energy stated that the tele-sellers are appointed data processors and are "contractually required to collect the consent of the potential customer contacted in order to obtain a legal basis for the processing" and that "at the time of signing, it is verified that the service providers have an adequate organizational structure also in GDPR matters through the completion of questionnaires (attached B) and interviews with the legal representatives and operational staff of the same tele-sellers. Furthermore, the company Facile.Energy conducts randomized inspections to verify compliance with contractual, legal, and GDPR provisions. Copies of the minutes of these ongoing inspections will be produced. As of 2023, only capital companies with a solid asset structure are contracted as tele-selling service providers, subject to monitoring."

The Company then provided further information regarding the procedures prior to the activation of individual supplies, highlighting that "The signing operations are conducted only via OTP in order to uniquely identify the customer, after having collected their consent for data processing. To protect the customer, they are identified via mobile number and internet IP, which are then reported on the contract (attached B) along with the data of the person who actually made the contact, appointed as the data processor by Facile.Energy. The company procedures provide for the automatic rejection of contracts that report repeated IP or mobile numbers more than twice, in order to protect the consumer (attached C). All correspondence to end customers is channeled through XX and tracked."

Finally, Facile.Energy represented that from October 2023, before proceeding with the activation of the supply, the Company checks the residence of each potential customer through an application XX - Registry/Residence and that in case of anomalies, the activation procedure is not continued.

Subsequently, in acceptance of the request sent by the Company, the hearing referred to in Article 166, paragraph 6 of the Code, was postponed to February 27, 2024.

On the occasion of the aforementioned hearing, Facile.Energy preliminarily highlighted the commitment made by the Company to comply with the

****Telemarketing Code of Conduct****

and for this purpose has decided to invest in the implementation of a new CRM for the management of data and corporate documentation. The Company has also represented that telesellers are selected exclusively from capital companies and through a standardized procedure, following the administration of a self-assessment questionnaire.

In relation to the controls carried out on the activities of the telesellers, the Company has declared that it conducts sample checks (10%-15%) on contracts finalized with customers, in order to ascertain the legality of the processing: in the event that telesellers do not provide evidence of a correct legal basis, they may be excluded from the sales network of Facile.Energy and the contract will be discarded anyway.

The Company then stated that it has modified its business practices about two months ago, providing for a double verification at the Register of Oppositions. More specifically, the first verification is divided into two phases and is carried out directly by the teleseller in the two days preceding the contact.

Subsequently, during the time between the contact and the activation of the service, the numbers are re-verified with the FUB; therefore, if in the meantime the interested party has registered with the RPO, the contract is discarded.

Regarding these measures, Facile.Energy clarified that they have been adopted to reduce complaints and are necessary by virtue of the provisions contained within the Consumer Code, in the part that states that in the case of unsolicited activation, the final consumer is not obliged to pay for the supply (see p. 2 of the hearing minutes "In practice, Facile.Energy attributes to the revocation of consent expressed at the Register of Oppositions close to the signing of an energy contract a value not dissimilar to the right of reconsideration, in the perspective of maximum protection of the will of the interested party").

The Company then highlighted that even at the time of the registration of the contract with the Integrated Information System, an additional verification is carried out with the FUB and that in the case of registration of the number with the RPO, the procedure is blocked, given that "This control allows to assess the permanence of the consent of the interested party; however, it must be taken into account that the agency earns its commission regardless of whether or not the activation procedure continues" (see p. 2 of the hearing minutes).

Facile.Energy then noted that in order to address the issues related to data collection and contract signing, it has decided to proceed with the signing of contracts exclusively through digital signing, following the sending of a one-time password (OTP). As of now, therefore, the signing through voice order has been completely discontinued, and the indication by the user of the mobile number to which to send the OTP is recorded, following the acquisition of consent.

The Company also stated that it sends the contractual documentation both directly to the customer's mobile phone via a specific link and to the residence through shipment tracking until delivery is completed.

Regarding subjective roles, Facile.Energy represented that it appoints telesellers as data processors and only uses individuals who have appointed the DPO.

Regarding data retention, the Company highlighted that in the event of exercising the right to erasure, the request is fulfilled, unless it is necessary to retain the data for accounting and administrative purposes. The only case in which, after the segregation of the data, it is possible to re-access it is when the customer contacts the company again. The company does not carry out profiling, nor does it transfer data to third parties.

Additionally, the Company noted that agencies access corporate systems using personal usernames and passwords, which are updated periodically. In this case, each agency has a single access (so-called "room") and indicates the operators who access it. These operators are responsible for entering the customer's data and recording the first contact call related to the communication of the contact phone number to send the OTP.

The system then automatically filters contracts, and in case of anomalies (e.g., double contract, suspicious VPN, etc.), the agent receives a notification of rejection and can contact the customer again to resolve the issue.

Finally, Facile.Energy reserved the right to produce a summary memorandum by March 13, as well as the appointment of the data processor, the pre-qualification checklist of the processors, and the audit minutes referred to in the defensive writings.

Lastly, with authorized notes sent on March 13, 2024, the Company declared that it has adopted a configuration of its systems such as to "discard" contracts signed through systems that do not allow for the verification of the identity of the signing party (e.g., VPNs that conceal the exact IP of the signing party, for example), multiple signings with the same contact (to date, a maximum of two contracts can be signed with a single phone number), and signings made through virtual phone operators or SIMs that are not traceable (e.g., XX, etc.).

With the same note, the Company highlighted that "it conducts periodic sample checks with telesellers regarding the nature of the consent provided by the contracted parties and in some cases does not..." contracted as they are discarded due to non-compliance with the guidelines (Annex 10).

Furthermore, the company conducts periodic audits at the individual facilities, without prior notice, documenting the results of the inspection (Annex 11). Particular attention is paid to verifying the origin of the lists containing the data of consumers to be contacted, used by the telesellers. Facile.Energy does not limit itself to verifying that the lists are purchased from

Italian suppliers responsible for their creation, management, and filtering, but also requests the delivery of a copy of the purchase contract along with attachments to allow for the necessary checks regarding the origin of the data and their correct collection and management (Annex 12).

Finally, the Company has expressed its intention to organize, in collaboration with the association XX, training meetings also on privacy matters aimed at both its employees and the staff of the sales structures.

3. AUTHORITY'S ASSESSMENTS

The elements and documents overall acquired during the investigation reveal a worrying picture of non-compliance with reference to the regulations on the protection of personal data dating back to the time of the contested facts and not yet fully resolved, made even more serious and evident when considered in light of the constant orientation expressed by the Authority in the numerous measures adopted in the field of telemarketing.

The Company's defense has focused almost exclusively on the allegation and the analytical description of a series of measures and processes that - although partly deserving of appreciation - have in fact been implemented only during the proceedings and thus do not negate the violations subject to contestation.

In fact, the current investigation originates from numerous complaints received by the Authority,

also through certain consumer associations, which in an analytical and consistent manner documented a specific *modus operandi* attributable to Facile.Energy, aimed at the legitimate maximization of profit, but in disregard of any safeguard of legality in the field of personal data protection.

From the numerous reports and complaints, an operational practice emerges in the customer acquisition activities that appears constant and repeated: the user typically receives a phone call from an operator who does not identify themselves and who appears to possess all the personal data of the interlocutor and information related to the supply. Often unbeknownst to the customer, the activation of the supply is carried out, and the latter only realizes the existing contract following the delivery of alarming invoices, when it is now too late to exercise the right of reconsideration. In numerous cases, the interested parties also complain about the manipulation of the vocal orders, requested to prove the correct activation of the contract.

Regarding the origin of the data, the Company has noted that "the undersigned Facile.Energy receives the data of potential Clients from teleselling operators and, more generally, from the commercial network

(agents, brokers, etc.). This data, collected and used by the teleseller is therefore not sourced by Facile.Energy but is received by it under a teleselling contract (in this case) or an agency or brokerage contract without the possibility of verifying, upstream, the validity of the data itself used by the sales network which is composed of legally distinct entities from Facile.Energy." However, the fact that the contact lists come from third parties does not prevent the Company – as it should – from verifying, for example through suitable and complete documentation, the origin of the data and the legal basis for processing.

On this point, Facile.Energy has limited itself to recalling the obligations imposed on telesellers by virtue of the contract that in Article 2.4 provides that "The Contractor shall procure at its own care, responsibility, and expense the lists of potential clients to be called, ensuring, where necessary according to current regulations, directly or through authorized third parties, the registration with the Public Register of contractors who oppose the use of their personal data and their telephone number for sales or commercial promotions, pursuant to Article 1, paragraph 15, of Law January 11, 2018, No. 5. (hereinafter "Register") pursuant to DPR January 27, 2022, No. 26 to communicate to the same Register the lists of names/telephone numbers that it intends to contact for the teleselling activity subject to this Contract and to retrieve from the aforementioned Register the "clean" lists of names registered in the Register of Oppositions. Likewise, it will be the responsibility of the Contractor and/or authorized third parties to maintain, modify, update, or constantly integrate the lists, guaranteeing and indemnifying in any case the Client regarding compliance with the provisions set forth in current privacy regulations."

This clause already reveals a fundamental confusion between the regulation on the Public Register of Oppositions and that on the right to object as per Article 21 of the Regulation.

Pursuant to Article 1, second paragraph, of Law No. 5/2018 "Those who wish to oppose the processing of their telephone numbers carried out by an operator using the

telephone». And then pursuant to the subsequent paragraph 5,

"With the registration in the register referred to in paragraph 2, all previously expressed consents, in any form or by any means and to any subject, authorizing the processing of one's fixed or mobile telephone numbers carried out ((...)) for advertising or sales purposes or for conducting market research or commercial communication are considered revoked, and the use of telephone numbers transferred to third parties by the data controller based on previously granted consents is also prohibited for the same purposes."

Conversely, Article 21, paragraph 2, of the Regulation recognizes the right of the data subject to object

to the processing of their personal data for direct marketing purposes.

First of all, it follows that while registration in the RPO has the effect of revoking consent erga omnes, the exercise of the right to object has a limited effect only against the individual data controller or, at most, extends to any other recipients to whom the data may have been transferred.

Secondly, the commented provisions give rise to different obligations for the data controller.

In fact, pursuant to Article 1, paragraph 12 of Law No. 5/2018, "Operators who use telephone advertising and telephone sales systems or who conduct market research or telephone commercial communications ((with or without the intervention of a human operator)) are obliged to consult the public opposition register monthly, and in any case prior to the start of each promotional campaign, and to update their lists." Conversely, following the receipt of an opposition request, the data controller is obliged under Article 12 of the Regulation to facilitate its exercise, to respond to the request without unjustified delay and in any case within one month of receipt. In no case, therefore, does the obligation to ensure the formation and updating of the numbers registered in the RPO fall on the data controller or the processor, as this is a prerogative reserved solely for the data subject.

The aforementioned contractual clause, moreover, cannot serve to exempt the data controller from the obligations and responsibilities established by the current legislation on the protection of personal data. Taking into account the nature, scope, context, and purposes of the processing, as well as the risks with varying probabilities and severity for the rights and freedoms of natural persons, Facile.Energy, as the data controller and by virtue of the principle of accountability, pursuant to Article 24 of the Regulation, is required to implement appropriate technical and organizational measures to ensure, and be able to demonstrate, that the processing is carried out in accordance with the current legislation on the protection of personal data.

Moreover, as a logical consequence of the aforementioned principle of accountability, Article 28 of the Regulation imposes, on the one hand, that if processing is to be carried out on behalf of the data controller, the latter shall only engage processors who provide sufficient guarantees to implement appropriate technical and organizational measures so that the processing meets the requirements of this Regulation and ensures the protection of the rights of the data subject (so-called culpa in eligendo). On the other hand, the provision imposes a series of supervisory and control obligations on the data controller regarding the actions of the data processor (so-called culpa in vigilando).

In this case, the failure to comply with the aforementioned obligations by Facile.Energy clearly emerges not only from the circumstances detailed in the numerous complaints received by the Authority but is also confirmed by the Company's own defense, which claims to be exempt from data protection obligations solely by virtue of an indemnity clause and the circumstance that the procurement of contact lists was allegedly left to the telesellers.

The illustrated thesis cannot be accepted, as it seems to repudiate the very cornerstone principles of the current regulatory framework, based on a system of precise definition of roles and responsibilities, as well as indispensable values to which processing activities must necessarily conform. The reference is certainly to the provisions of Articles 24, 25, and 28 of the Regulation, as well as to the principles of lawfulness, fairness, security, and transparency established by Article 5 of the Regulation. The Company was also perfectly aware and thus in a position to curb the phenomenon, given that in December 2022 it had already been the recipient of a sanctioning measure from the AGCM precisely in relation to unsolicited activations and that almost all the reports and complaints received by the Authority were also sent to Facile.Energy directly by the same data subjects.

The conduct carried out by the Company must then be evaluated also in light of the circumstances presented by the reporters and complainants, which serve not only to confirm the validity of the raised reproaches but also to denote their significant severity.

In almost all complaints, in fact, the data subjects report having suffered a series of economic prejudices, as well as non-pecuniary damages closely related to the unlawful processing of their personal data carried out in the context of telemarketing activities and the consequent unsolicited activations. Under the first aspect, the applicants complain about the loss of rates more advantageous applied by the previous manager and the receipt of disproportionately high invoices. In some cases (files no. 177320 – 184725 – 182272 -182775) the interested parties – while denying the contract with the Company and having promptly exercised the right of reconsideration –

would have partially or fully paid the invoices issued to them, and in one case, the interested party received additional invoices followed by payment reminders from Facile Energy. In another case (file no. 183715), the complainant stated that they even suffered a suspension of electricity supply due to non-payment of the invoices charged by Facile Energy. Finally, regarding file no. 217004, the interested party complained about the demand for payment of unpaid invoices, despite never having received them before. In relation to the second aspect, in numerous cases, the complainants express anxiety and concern about not knowing who has obtained their data and what they intend to do with it, as well as frustration over paying amounts not owed or facing the threat of a possible disconnection of a service that is notoriously essential.

On this point, Facile Energy observes, "This charge is denied by ARERA resolution 302/2016, which provides that an operator can supply a point simply by performing a switch without the previous supplier being able to oppose. No existential damage and – even less – no patrimonial damage can be caused to the consumer who, correctly, is protected by current legislation and the consumer code, particularly where they suffer from an unfair commercial practice: in this case, in fact, the cited code in Article 66 sexies provides that the supplier is obliged to waive any economic claim against the consumer who, therefore, will be fully compensated for any damages suffered." This observation cannot be shared, given that the mentioned difficulties regarding the change of supplier may arise in cases, for example, of invoices remaining unpaid because they were never delivered or disputed between the parties due to unsolicited activation (circumstances noted in the complaints included in this investigation). Furthermore, the protection provided by Article 66 sexies of the consumer code is not automatic and cannot disregard either the proof of the activation of an unsolicited supply or the declaration by the competent Authority.

Similarly, the findings from the verification conducted at the FUB regarding the list of telephone contacts made during the so-called sample week, which generated the signing of contracts in favor of the company, serve to demonstrate the attribution to the same of the ongoing conduct of telemarketing and teleselling activities in open violation of the obligations established by current legislation.

Contacting 106 telephone numbers within the telemarketing activities (a limited figure, it is reiterated, only concerning the calls that led to the activation of a service, not extended to the far more numerous contacts that were unsuccessful) carried out during the period of February-March, while the same users were registered with the RPO – and thus under the opt-out mechanism determined by current legislation – constitutes a violation of Article 130, paragraphs 3 and 3-bis, of the Code, concerning electronic communications, as well as, more generally, Articles 5, paragraph 1, letter a) and 6, paragraph 1, letter a) of the Regulation, regarding the principle of legality and the necessity of a legal basis of consent to legitimize the processing of the data in question for promotional purposes.

On this point, the Company merely stated succinctly that "This charge is incorrect and misleading. By way of example, a search conducted at the U. Bordini foundation shows that the following users, which this Authority indicates were contacted when they would have recorded their opposition, were freely contactable between February and March 2023 as the holders registered subsequently after March 2023 in the register of oppositions," and provided a list of only 16 numbers that would have been registered with the RPO after March 2023. Facile Energy then reiterates that "Individual telesellers are appointed as data processors (Annex A), and are contractually required to collect the consent of the potential customer contacted in order to obtain a legal basis for the processing."

The exception is entirely unfounded and therefore cannot be accepted. In this regard, it is worth recalling that the findings from the verification at the FUB come from the Institution responsible for the regular maintenance of the Register, and therefore if the Company had wanted to refute its content, it should have provided a detailed account of any errors found, highlighting the alleged correctness of the telesellers' actions both in terms of obtaining consent for processing for promotional purposes and in terms of the precise use of contact lists duly verified with the aforementioned Foundation.

The observation, moreover, cannot be shared even on the merits. The Office asked the FUB to indicate "for each number, regarding any registration in the Public Register of Oppositions not

subsequent to January 31, 2023, or the indication of automatic registrations, which as of January 31 concern the numbers transferred from the old to the new RPO on July 27 and which users have not renewed, for which consents are not...

****Cancelled States****. This circumstance, moreover, is well known to the Company that requested and obtained access to all the preparatory documents of the proceeding. The referenced list of (16 out of 106) numbers appears to be a list of renewals of registration to the RPO made after March 2023 and therefore does not at all disprove the validity of the charges against the Company, but rather highlights that the contractors listed have confirmed their intention to oppose any processing of their personal data for marketing purposes. However, even hypothetically, if one were to accept the exception in question, it would result that the Company, in fact, during the so-called sample week, made at least 90 telephone contacts (limited to the portion of them that led to the activation of a supply) in the absence of an appropriate legal basis. Furthermore, the reference to the necessary acquisition of consent leads to the conclusion that the telemarketing and teleselling activities of the Company are carried out under an erroneous interpretation and application of the regulatory provisions, also in relation to the provisions of Articles 129 and 130 of the code concerning data present within public registers.

The observations made thus far, therefore, provide a picture of incomplete effectiveness of controls and security measures throughout the entire chain that goes from "contact" to "contract." The preparation of controls, as evidenced in the documents, of a merely formal and ex ante nature on partner agencies indicates a purely formalistic reception of regulatory principles and exposes the company to the concrete risk of ineffectiveness of the prescribed measures, as has indeed occurred. This results in an overall judgment of deficiency regarding compliance with the principles aimed at protecting the accountability and responsibility of the data controller, as well as the specific rules concerning data processing security (cf. Articles 5, par. 1 lett. f), 5 par. 2, 24, par. 1, 25, par. 1, and 32 of the Regulation).

Such types of control are also provided for by Article 16 of the Code of Conduct for telemarketing and teleselling activities (available on the website www.garanteprivacy.it doc-web n. 9868813 - Prov. GPDP n. 70 of March 9, 2023 – in GU n.73 of March 27, 2024), which, regardless of adherence, presents undeniable value in terms of best practices, in that it states that "1. Data controllers adopt organizational and/or technical procedures aimed at demonstrating that the data of the data subject/contractor/user have been acquired in compliance with the principles set out in Article 5, par. 1, of the Regulation; in particular, taking into account the principle of proportionality, through by-default measures, they implement in the systems specific procedures that identify promotional campaigns, contact lists, and operators involved in each distance contract concluded and are able to demonstrate the correctness of the aforementioned information. Such procedures prevent the registration of contracts for which the aforementioned information cannot be found (...). 2. Adherents to this Code of Conduct ensure that the entire chain processes the data exclusively on the basis of appropriate consent for processing for telemarketing and teleselling purposes that is clearly distinct from the expression of contractual intent. (...) 6. The client develops its processes so that contracts concluded following teleselling activities occur in the presence of unequivocal consent for the original contact, except in cases falling within the scope of Article 130, paragraph 3-bis of the Code. In the initial application of this Code of Conduct and exclusively for the protection of the data subject, if as a result of the checks contracts emerge for which the initial contact is found to be flawed, such contracts may continue to be executed provided that the client informs the data subject of the flawed origin of the contract and that the data subject confirms the desire to maintain it, without prejudice to residual cases where the client does not follow up on proven attempts to contact the client (...)."

Also in this regard, the evaluations regarding the conduct of the Company cannot disregard the necessary considerations regarding the scale of the phenomenon and its consequent economic impacts. If one were to multiply the 106 unlawful telephone contacts made during the so-called sample week by the total operational weeks of the telesellers in a year, one could conclude that the Company has likely entered into over 5,000 contracts per year as a result of telephone contacts made in the absence of an appropriate legal basis and consequently has received the benefits derived from as

many contracts that should never have been concluded. It is reiterated once again that the aforementioned 106 telephone contacts made during the so-called sample week are only those that were successful (i.e., that led to the activation of the supply), so that the unlawful contacts actually made during the sample week were likely much more numerous.

For the purposes of the determinations of the proceeding, the degree of cooperation with the Authority and the remedial actions taken by the Company during the preliminary investigation must certainly be duly considered. From the examination of the defensive writings and the documentation on record, it emerges that Facile.Energy, during the proceeding, has initiated a radical reorganization of its telemarketing activities and...

teleselling aimed at greater compliance with regulations regarding the protection of personal data (e.g., new CRM configuration, random checks of contracts, audits and questionnaires for data processors, inspections at the FUB, exclusion of partnerships with partnerships, signing contracts via OTP and tracking the delivery of the contractual package in paper form, training courses on privacy for employees and telesellers). Although commendable, the initiatives listed are not entirely adequate to ensure a sufficient level of compliance with current regulations and seem to confirm, even from this perspective, the incomplete assimilation or, in any case, the incorrect interpretation of the same.

Regarding the contact lists, it does not appear that the Company has implemented a procedure to assess the existence of an appropriate legal basis for processing, having limited itself to structuring a verification system confined exclusively to the origin of the data (cf. "the telesellers act on lists of certain origin, preferably formed by themselves. Facile.Energy verifies that the list is not purchased from a foreign supplier or a third party, thus excluding the possibility of a double transfer of ownership").

With specific reference to the checks carried out at the FUB, the practices recently implemented, as described during the investigation, reveal on one hand the incorrect interpretation of Articles 129 and 130 of the Code, and on the other hand that the Company does not make a correct distinction between the granting of consent for data processing for marketing purposes and the preliminary consent for the conclusion of the contract. Facile.Energy clarified on this point that "The Company also carries out a double check with the Register of Oppositions. The first is conducted directly by the teleseller, in the two days preceding the contact. Before the activation of the service, the numbers are verified again with the FUB, therefore if in the meantime the person has registered with the FUB, the contract is discarded (...). A second verification with the FUB occurs automatically when the contract is uploaded by the teleseller. Subsequently, a third verification with the FUB is carried out at the time of the registration of the contract with the SII."

The verification methods just described appear irrelevant and, at first glance, excessive, given that current regulations require that all numbers must undergo a prior verification with the FUB, in order to prevent illicit contacts, and that the registration of one's number with the RPO occurring at a later time than a lawful contact, but before the activation of the supply, cannot invalidate either the validity of the contact upstream or the legality of the contract downstream.

In fact, once the customer relationship is established with the signing of the contract and limited to that contractual relationship, the processing of the personal data of the interested party falls outside the scope of application of Articles 129 and 130—except for the case of so-called soft spam—and falls under Articles 6, 7, and 21 of the Regulation (i.e., legal bases and right to object).

With reference to the scripts transmitted in attachment to the authorized notes of March 13, 2024 (cf. annex 3 ter), it should be noted that although they contain a brief information notice on the processing of personal data, they do not seem to contemplate the prior acquisition of consent for recording, nor indicate to the interested party the methods for consulting the complete information notice.

Pursuant to and for the effects of Article 83 of the Regulation, a remark must also be made regarding the conduct and degree of cooperation with the Authority held by the Company during the procedure. Facile.Energy has indeed shown itself to be particularly indifferent to the rules on the procedures of the Guarantor having external relevance, on one hand requesting multiple extensions, which then did not

result in particular investigative follow-ups, and on the other hand failing to exercise the right of defense in the ways and times provided by law. The reference is certainly to Article 166, paragraph 6 of the Code in the part that provides that within 30 days from the receipt of the communication of the initiation of the procedure, the offender may send defensive writings and documents to the Guarantor and may request to be heard. In disregard of the aforementioned rule, however, the Company first produced defensive memoranda and some documents, then during the hearing requested again for yet another extension for authorized notes and documents. But the Company ended up artfully exploiting the protective spirit of the Office, attempting to evade the legal deadlines in order to introduce into the procedure documentation produced ad hoc and after the hearing itself (cf. annex 11 authorized notes of March 13, 2024 - inspection report dated March 11, 2024).

Finally, for the purpose of a correct modulation of the corrective measures to be adopted, the indications contained in Chapter 7 of the Guidelines 04/2022 on the calculation of administrative fines under the GDPR (available for consultation on the website www.edpb.europa.eu) must certainly also be taken into account.

For the reasons extensively illustrated, the responsibility of Facile.Energy for the violations contested through the communication of the initiation of the procedure pursuant to Article 166, paragraph 5, of the Code of December 19, 2023, must therefore be confirmed.

4. CONCLUSIONS

For the reasons stated above, considering that the Authority has received 2 reports against Facile.Energy,

****Complaints and 56 Reports Regarding Unwanted Contacts and Subsequent Unrequested Activations,****

It is also considered that following a sample verification, illicit contacts have emerged involving, over the course of a week, 106 individuals who subsequently entered into a contract with the Company. Acknowledging the defensive considerations, it is deemed that the responsibility of Facile.Energy has been established regarding the following violations:

- a) of Articles 5, paragraph 1, letters a) and f), 5, paragraph 2, 6, paragraph 1, letter a), 24 paragraph 1, 25, 28, and 32 of the Regulation for the failure to implement appropriate technical and organizational security measures and controls concerning the commercial supply chain and partners;
- b) of Article 130, paragraphs 3 and 3-bis, of the Code for Articles 5, paragraph 1, letter a) and 6, paragraph 1, letter a) of the Regulation for having contacted 106 telephone numbers within the telemarketing activities, while the same numbers were registered with the RPO - and therefore under the opt-out mechanism - as determined by current legislation.

It is also established that the conduct of the Company regarding the treatments examined is unlawful, and it is necessary to:

- impose on Facile.Energy, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the data of the reporters and complainants;
- order Facile.Energy, pursuant to Article 58, paragraph 2, letters d) and e) of the Regulation, to communicate to the 106 individuals, whose personal data has entered the Company's systems following illicit contacts, the outcomes of today's proceedings based on a text to be agreed upon with the Authority in the application of this provision;
- order Facile.Energy, pursuant to Article 58, paragraph 2, letter d) to implement adequate controls within its sales network and appropriate system upgrades, in order to exclude that illicit contacts made by external parties may lead to activations of energy services;
- adopt an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Facile.Energy of the administrative monetary penalty provided for by Article 83, paragraphs 3 and 5, of the Regulation.

****5. INJUNCTION ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE MONETARY**

PENALTY**

The violations indicated above necessitate the adoption of an injunction order, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Facile.Energy of the administrative monetary penalty provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of an amount up to €20,000,000.00 or, for companies with over €500,000,000 in revenue, up to 4% of the worldwide annual revenue of the previous financial year).

For the determination of the amount of the penalty, it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

In the case at hand, the following factors are relevant:

- 1) the severity of the violations (Article 83, paragraph 2, letter a) of the Regulation), taking into account the subject and purposes of the data processed, related to the overall phenomenon of telemarketing, regarding which the Authority has adopted, particularly in the last three years, numerous measures that have fully addressed the multiple critical elements, providing the holders with numerous indications to adapt the treatments to current legislation and to mitigate the impact of nuisance calls on the affected parties;
- 2) as a mitigating factor (Article 83, paragraph 2, letter e) of the Regulation), the circumstance that Facile.Energy does not appear to have been the recipient of corrective and/or sanctioning measures by the Guarantor;
- 3) as a partially mitigating factor (Article 83, paragraph 2, letter f) of the Regulation) the remedial actions taken during the proceedings, considering that although the effort made by the holder during the proceedings to adapt the corporate structure to the data protection regulations is commendable, for the reasons illustrated in the reasoning part, the actions taken are not yet sufficient to ensure an adequate level of protection and appear partly contrary to the principles and guiding spirit of current legislation;
- 4) as an aggravating factor (Article 83, paragraph 2, letter k) of the Regulation) the lack of full cooperation provided by the holder during the proceedings.

Based on the overall elements indicated above, and the principles of effectiveness, proportionality, and deterrence provided for by Article 83, paragraph 1, of the Regulation, and taking into account the necessary balance between the rights of the affected parties and business freedom, also in order to limit the economic impact of the penalty on the organizational and functional needs of the Company, it is deemed that an administrative penalty of €100,000.00, equal to 0.5% of the maximum statutory penalty, should be applied to Facile.Energy, in accordance with relevant precedents.

In this case, it is considered that the accessory penalty of publication of this provision on the Guarantor's website should be applied, as provided for by Article 166, paragraph 7 of the Code and Article 16 of the Guarantor Regulation No. 1/2019, taking into account the nature of the treatments, as well as the risk elements for the rights and freedoms of the affected parties.

Finally, the prerequisites of Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out tasks and exercising powers are met.

Demand to the Guarantor.

WHEREAS, THE GUARANTOR

- a) imposes on Facile.Energy, pursuant to Article 58, paragraph 2, letter f) of the Regulation, the prohibition of any further processing of the data of whistleblowers and complainants;
- b) orders Facile.Energy, pursuant to Article 58, paragraph 2, letters d) and e) of the Regulation, to communicate to the 106 individuals, whose personal data have entered the Company's systems as a result of unlawful contacts, the outcomes of today's proceedings based on a text to be agreed upon with the Authority in the application of this provision;
- c) orders Facile.Energy, pursuant to Article 58, paragraph 2, letter d) to implement adequate controls

within its sales network and appropriate system enhancements, in order to exclude that unlawful contacts made by external parties may lead to the activation of energy services;

d) orders Facile.Energy, pursuant to Article 157 of the Code, to communicate to the Authority, within 30 days from the notification of this provision, the initiatives undertaken to implement the imposed measures; any failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation;

****ORDERS****

Facile.Energy S.r.l., represented by its legal representative pro tempore, with registered office in Milan (MI), Via Uberto Visconti di Modrone n. 34, VAT number 05175670289, to pay the sum of €100,000.00 (one hundred thousand/00) as an administrative pecuniary sanction for the violations indicated in the reasoning, noting that the offender, pursuant to Article 166, paragraph 8, of the Code has the option to settle the dispute by complying with the prescribed requirements and paying, within thirty days, an amount equal to half of the imposed sanction.

****ORDERS****

the aforementioned Company, in the event of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €100,000.00 (one hundred thousand/00), according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions pursuant to Article 27 of Law No. 689/1981.

****DISPOSES****

The application of the accessory sanction of publication on the Guarantor's website of this provision, as provided for by Articles 166, paragraph 7 of the Code and 16 of the Guarantor Regulation No. 1/2019, and the annotation of the same in the internal register of the Authority - as provided for by Article 57, paragraph 1, letter u), of the Regulation, as well as by Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Guarantor - related to the violations and measures adopted in accordance with Article 58, paragraph 2, of the same Regulation.

Pursuant to Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place where the data controller has its registered office, within thirty days from the date of communication of the provision itself.

Messina, April 11, 2024

****THE PRESIDENT****

Stanzione

****THE REPORTER****

Ghiglia

****THE SECRETARY GENERAL****

Mattei